

LIFE INSURANCE

We have already understood our need for life insurance in the profiling stage. Not everyone needs life insurance. But those who do, suffer significantly if they do not have a proper insurance system in place. Their entire family's survival depends on life insurance in case of death. We also know the insurance coverage we need.

.....TERMS TO KNOW.....

1

COVER UPTO THIS AGE

It is the maximum age up to which the insurer will cover the insured person and will pay life insurance benefits. This can be 75, 80, or 90 and varies from insurer to insurer, policy to policy. The insurer will not allow the insured person to renew their risk coverage beyond this age because after that it becomes a case of natural death rather than a risk.

SUM INSURED

Sum insured is the coverage amount of the life insurance that has been purchased. It is the amount that the insurance company will be liable to pay in case the risk materializes. Also, the insurance premium is decided based on the sum insured and a few other factors.

2

3

PREMIUM

Premium is the upfront fee paid to the insurance company for covering our risks. If any liability arises, the insurance company pays us a lump sum and if nothing happens, the premium remains with the insurance company. Premium is the price that we pay to transfer our risk to the insurance company.